WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

UNITED ARAB EMIRATES

Middle East

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Abu Dhabi	Federal capital and home of ADNOC and the sovereign wealth funds, with Abu Dhabi Global Market (ADGM) as its common-law financial centre	Energy, financial services, sovereign co-investment, AI and data centres
Dubai	Regional commercial, aviation and logistics hub; home to the Dubai International Financial Centre (DIFC) and Jebel Ali Port	Trade, logistics, financial services, real estate, tourism
Fujairah and the Gulf of Oman coast	Export terminal outside the Strait of Hormuz, fed by the 1.5 million barrels a day Habshan–Fujairah pipeline, with a second line due to double bypass capacity by 2027	Oil storage and export, bunkering, pipelines, port services
UAE–US AI Campus (Abu Dhabi)	Planned 5 GW AI campus including the 1 GW Stargate UAE cluster developed by G42's Khazna with OpenAI, Oracle, NVIDIA, Cisco and SoftBank	AI infrastructure, cloud, power, cooling and engineering
Free zones (more than 40 nationwide)	Zones offering 100% foreign ownership, customs advantages and a 0% corporate tax rate on qualifying income	Trading, logistics, light manufacturing, technology, services
Northern Emirates (Sharjah, Ajman, Ras Al Khaimah, Umm Al Quwain)	Lower-cost industrial and residential locations within easy reach of Dubai, each with its own free zones	Manufacturing, industrial services, tourism, education

INVESTOR ENTRY ROUTES

- Ministry of Investment, with Abu Dhabi Investment Office (ADIO) and Dubai's investment agencies at emirate level, providing facilitation, incentives and sector guidance for foreign investors
- Commercial Companies Law (Federal Law No. 26 of 2020, as amended in 2021) permitting full foreign ownership for most mainland commercial and industrial activities, with conditions retained for a limited set of strategic-impact sectors
- More than 40 free zones offering 100% foreign ownership and a 0% corporate tax rate on qualifying income for Qualifying Free Zone Persons; Dubai Executive Council Resolution No. 11 of 2025 now lets most non-financial Dubai free-zone companies operate on the mainland
- Abu Dhabi Global Market (ADGM) and the Dubai International Financial Centre (DIFC), financial free zones with their own common-law frameworks, courts and regulators

- Competitive tax regime: 9% federal corporate tax above AED 375,000 of profit, a 15% Domestic Minimum Top-Up Tax for multinational groups with revenue of €750 million or more, and no personal income tax
- Dollar-pegged dirham with full repatriation of profits, no minimum capital for limited liability companies, and customs tariffs of 0–5%
- Golden Visa long-term residence of 5–10 years for investors, entrepreneurs and skilled professionals, extendable to family members

MARKET-ENTRY OBSERVATION

The UAE entered 2026 as the Gulf's most diversified and fastest-growing economy. GDP grew 6.2% in 2025 to Dh1.9 trillion, with non-oil GDP up 6.8%, and the country attracted a record Dh177.3 billion ($48.3 billion) of foreign direct investment, up 6%, ranking 9th in the world for FDI inflows. Greenfield investment accounted for close to 45% of inflows, with 1,562 projects announced, led by manufacturing and communications. Momentum has continued through 2026: GDP rose 0.4% in the first half despite regional conflict, with finance and insurance up 14.8% and information and communication up 7.3%; non-oil foreign trade rose 13.1% to Dh1.937 trillion and non-oil exports reached a record Dh452.8 billion, up 23.9%. Full foreign ownership onshore, more than 40 free zones, a 9% corporate tax rate and the UAE's growing network of comprehensive economic partnership agreements continue to underpin the investment case.

The UAE's main structural challenge in 2026 is the regional conflict that began on 28 February and has sharply restricted shipping through the Strait of Hormuz. Iranian missile and drone attacks on the UAE, including a strike on the Fujairah oil zone in May, and travel disruption led to a 2.1% contraction in the second quarter, and the IMF now projects a 3.9% contraction for 2026. The UAE has responded from a position of strength: Fitch affirmed its AA-rating with a stable outlook in May, citing a consolidated fiscal surplus, government debt of around 27% of GDP and Abu Dhabi sovereign foreign assets of about 164% of GDP. Crude exports have been redirected through the Habshan–Fujairah pipeline, a second bypass line is being fast-tracked for 2027, and the UAE left OPEC on 1 May 2026 to pursue its 5 million barrels a day capacity. The non-oil PMI held at 55.3 in September, and the IMF expects growth to rebound to 7.7% in 2027, creating opportunities in energy logistics, AI infrastructure and the wider non-oil economy.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Strait of Hormuz shipping restrictions	Shipping through the Strait remains well below pre-war levels in October 2026, constraining oil exports and some trade flows through Gulf ports	The Habshan–Fujairah pipeline and Gulf of Oman ports provide an alternative route; investors can build shipping scenarios into planning and target the expansion of bypass infrastructure
Security incidents linked to the Iran war	Iranian missiles and drones have targeted the UAE, including the Fujairah oil zone in May; most have been intercepted, and an August launch caused no damage	Review security and business-continuity plans and insurance cover; the UAE's investment in layered air defence and alternative routes supports continuity
2026 growth slowdown	The IMF projects a 3.9% contraction in 2026 after Q2 GDP fell 2.1%, with tourism, transport and trade most affected	Strong buffers and a projected 7.7% rebound in 2027 make this a window for longer-horizon investors to enter at attractive valuations
Hydrocarbon exposure	Oil remains around a fifth of GDP and drives public revenues, although non-oil activity accounts for 79.2% of output	Leaving OPEC gives the UAE flexibility to raise output toward 5 million barrels a day as shipping normalises, while non-oil diversification broadens the opportunity set
Rising costs and tighter financing	Dubai inflation reached 5.3% in July and the base rate rose to 3.90% in September in line with the US Federal Reserve	The dollar peg provides currency certainty; factor higher input and borrowing costs into budgets and use long-term supply contracts where possible

Issue	Potential Impact	Possible Mitigation
Sanctions and compliance screening	As a global trade and re-export hub, the UAE requires careful counterparty screening, particularly for Iran-linked trade subject to US and other sanctions	Use sanctions counsel and robust know-your-customer procedures; ADGM and DIFC offer internationally recognised regulatory and legal frameworks
Tax regime transition	The 9% corporate tax and the 15% top-up tax for large multinationals require new compliance, and free-zone 0% treatment depends on meeting qualifying conditions	Take local tax advice at structuring stage; the regime remains among the most competitive internationally

INVESTOR RISK NOTE

The UAE's risk profile reflects a diversified, highly rated economy managing a significant external shock from a position of exceptional financial strength. Its open investment framework, with full foreign ownership onshore, more than 40 free zones, the common-law ADGM and DIFC, a competitive tax regime and a dollar-pegged currency, attracted record FDI in 2025 and ranked the country 9th globally for inflows. The 2026 Iran war has restricted shipping through the Strait of Hormuz and brought missile and drone attacks on UAE territory, pushing the economy into a projected contraction this year; however, Fitch's AA- affirmation, a consolidated fiscal surplus, low government debt and large sovereign assets provide substantial buffers. The Fujairah export route, the fast-tracked second bypass pipeline and a non-oil PMI firmly in expansion in September demonstrate resilience. Investors should build shipping and security scenarios into planning and apply standard sanctions screening for Iran-linked counterparties, while the IMF's projected 7.7% rebound in 2027 points to a strong recovery as the region stabilises.

MARKET ACCESS

The UAE is a member of the Gulf Cooperation Council (GCC), giving preferential access to the other five Gulf markets, and a member of the WTO. Its CEPA programme of bilateral comprehensive economic partnership agreements continues to expand, with non-oil trade with partners whose agreements are fully in force reaching Dh304.3 billion in the first half of 2026, and the UK–GCC free trade agreement concluded in 2026 will further deepen ties with the United Kingdom. China, Switzerland and India are the UAE's largest non-oil trading partners. Jebel Ali, Khalifa Port and the Fujairah terminals give the UAE world-class maritime connectivity on both sides of the Strait of Hormuz, while Dubai and Abu Dhabi airports connect it to markets across Asia, Africa and Europe. This combination of trade agreements, logistics infrastructure and re-export capability makes the UAE a natural regional base for serving the Gulf, South Asia and Africa.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Sheikh Mohamed bin Zayed Al Nahyan)	Sets the federation's strategic, economic and foreign policy direction, including energy policy and the response to the regional conflict	Primary reference point for understanding the UAE's strategic priorities
Ministry of Investment	Federal ministry leading the national investment agenda and FDI attraction	Standard first point of contact for strategic investment dialogue
Abu Dhabi Investment Office (ADIO) and Dubai investment agencies	Emirate-level promotion agencies providing incentives, facilitation and sector support	Practical partners for site selection, incentives and licensing
Central Bank of the UAE (CBUAE)	Monetary authority; manages the dollar-pegged dirham and banking-sector regulation	Relevant for banking, payments and financial-services licensing
ADNOC	National energy company, operator of the Habshan–Fujairah pipeline and the 5 million barrels a day capacity programme	Essential partner for energy, petrochemicals and energy-logistics engagement
Sovereign investors (ADIA, Mubadala, ADQ) and G42	Abu Dhabi's sovereign funds hold assets of about 164% of UAE GDP; G42 leads the	Key co-investment partners for large-scale, technology and infrastructure

Actor	Why It Matters	Waverley Engagement Angle
	national AI infrastructure build-out	projects
Abu Dhabi Global Market (ADGM) and Dubai International Financial Centre (DIFC)	Common-law financial centres with independent courts and regulators	Preferred structuring venues for financial-services, fund and cross-border transactions

CURRENT INTERNATIONAL BUSINESS CHANNELS

The British Chamber of Commerce Dubai, the British Business Group Abu Dhabi and the American Chamber of Commerce in Dubai and Abu Dhabi are the leading Western business associations, alongside the Dubai Chambers and the Abu Dhabi Chamber for domestic business liaison. The Ministry of Investment and partners host Investopia, whose fifth edition took place in Abu Dhabi in March 2026, while ADIO co-hosts Make it in the Emirates, the national industrial investment forum. ADGM and DIFC function as networking hubs for financial-services, fund and family-office investors, and the UK–GCC free trade agreement is expected to generate new bilateral trade and investment programmes. The sovereign investors and ADNOC run supplier and partnership programmes that offer a practical entry point for international firms.

INVESTOR PROFILE BEST SUITED

The UAE suits a broad range of investors seeking a stable, well-regulated regional base with strong financial buffers: financial-services, asset-management and family-office investors using ADGM and DIFC; technology and AI investors drawn by the UAE–US AI Campus and the national digital agenda; logistics and trade investors serving the Gulf, South Asia and Africa through free zones and world-class ports; and manufacturing investors benefiting from industrial incentives and competitive energy. Energy and energy-logistics investors can participate in ADNOC's capacity expansion and the bypass pipeline programme, and long-horizon investors are well placed to benefit from the expected 2027 rebound, while building shipping and security scenarios into their planning.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Ministry of Investment and emirate-level agencies
Open dialogue with the Ministry of Investment and ADIO or Dubai's investment agencies to identify sector incentives, sites and licensing routes.

STEP 2: Choose the right structure: mainland, free zone or financial centre
Compare onshore full ownership, free-zone 0% qualifying income treatment and the common-law ADGM and DIFC platforms, with early tax and legal advice.

STEP 3: Build Hormuz and security scenarios into planning
Model shipping, insurance and supply-chain disruption, drawing on the Fujairah bypass route and the 2027 expansion of pipeline capacity.

STEP 4: Explore co-investment with sovereign and strategic partners
Approach Mubadala, ADQ, ADNOC and G42 partnership programmes for large-scale energy, AI and infrastructure opportunities.

STEP 5: Position for the 2027 recovery
Use CEPA market access and the UK–GCC agreement to plan regional expansion ahead of the rebound expected as shipping normalises.